

charges against them. This practice has perhaps been more widespread among oil companies than in any other industrial group. Some producers have also switched their charges for property *retirements* from earnings to the depreciation reserve. Finally, we have examples of a reduction in amortization charge being brought about by adoption of an “over-all basis” instead of a lease basis for depletion. By this means, oil produced from high-cost leases is written off not at its actual cost but at the average cost of all the oil reserves owned.

The significance of these changes in accounting policy is illustrated by the following:¹¹

Examples: Gulf Oil Corporation increased its 1932 earnings by \$3,621,000, by capitalizing intangible drilling costs instead of charging them off, as formerly.

Socony-Vacuum increased its 1932 earnings by \$6,095,000 (and subsequent earnings correspondingly) as a result of a write-down of fixed assets with consequent reduction in depreciation charges. In 1935 its profits were increased \$1,376,000 by charging this sum—representing losses on certain retired property—to depreciation reserve instead of to income, as theretofore. In 1936 it began to capitalize intangible drilling costs, adding about \$8,850,000 to profits in that year through this change. In 1937 the company made a further revision in its depreciation policy (apparently intended to place it on the standard basis), which added some \$2,500,000 to that year’s profits.

Pure Oil Company reduced its 1934 depletion charges and increased its earnings by \$1,698,000 through adoption of the “over-all” basis.

The Meaning of These Variations to the Analyst and the Investor. These differences of accounting methods are highly confusing and may arouse some resentment in the investor. We must recognize, however, that most of them are technically admissible, in that they represent choices between the ordinary and the more conservative basis of amortizing the fixed assets. What is called for, in consequence, is not so much censure as sound interpretation.

Suggested Standards. The analyst should seek to apply a uniform and reasonably conservative rate of amortization to a property base that

¹¹ These examples are drawn largely from Alfred Braunthal, “Are Oil Earnings Reports Fictitious?” *Barron’s*, Mar. 8, 1937.